

bail out of the market and have wanted no part of it ever since. They have missed out on one of the most sustained rewarding periods in market history. Once again, it seems, the lesson was that timing doesn't work. You just have to hang in there.

An Earlier Episode

The excruciating bear market of 1973–74 was very different, but its lessons were similar. It was a strange bear market. I went back and checked recently and found no day in 1973 when the market dropped by as much as 2 percent, the very opposite of what happened in the terrible days of October 1987. The market just slowly and steadily eroded. And it looked as if it was bottoming out in the fall of 1973, but then the Yom Kippur War broke out and OPEC slapped its oil embargo on the United States.*

OPEC's action caused a world recession in 1974, and the market, which had seemed to be recovering its health, headed down again, and this time it was much more volatile. It's almost as though we had two bear markets, one right after the other. But the total effect was brutal. The net asset value of a share of Acorn at the end of the second quarter of 1970 was \$7.54. More than four years later, at the end of the third quarter of 1974, it had dropped to \$6.19.

One lesson 1973–74 taught us, repeated in 1987, is that bear markets are great times to load up on stocks. In the third quarter of 1974, when the market was reaching its bottom, the weighted average price-earnings ratio of the Acorn portfolio was a mere 4.3 times estimated 1974 earnings. Stocks don't get cheaper than that. But when pessimism reigns, nobody cares. Which evokes the same

*President Carter wrongly reacted by putting a lot of extremely foolish regulations into effect that turned a problem into a crisis. Market forces are very good at sending gasoline from places that have too much to places that have too little. When the government took over the assignment and directed gasoline stocks to designated locations, we all ended up waiting in line for an hour or more to fill our tanks. When Carter removed the regulations, the lines vanished within twenty-four hours.